

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 25-16

**IWG INTERNATIONAL WOOD GROUP OF SC AND HONEST TRADING
INTERNATIONAL, LLC**
Complainants

VERSUS

DB SCHENKER USA, INC.
Respondent

RESPONDENT'S PROPOSED FINDINGS OF FACT

Respondent, Schenker, Inc., incorrectly named as DB Schenker USA, Inc., (“Schenker”), by and through its undersigned counsel, and pursuant to the Initial Order served August 12, 2025, Paragraph 23(B), respectfully submits its Proposed Findings of Facts (“RPFFs”) in support of its Reply Brief.

1. On or around January 5, 2025, Big Brother USA LLC (“Big Brother”), and Complainants Honest Trading International LLC (“Honest Trading”) and IWG International Wood Group of SC (“IWG”) entered into an agreement (“Operation Agreement”) for the use of IWG’s log yard located at 255 Ridgeville Road, Ridgeville, South Carolina and related services for the transportation of said goods stored at the yard. RX0033 (Swilley Dep.) at 32:3 – 32:24; R0052-RX0054 (Operation Agreement) at 1.

2. As a part of the Operation Agreement, the goods that were involved in the five subject shipments at issue in the instant proceedings were purchased by Big Brother (a non-party entity which is somehow affiliated with Honest Trading), rather than IWG or Honest Trading. RX0028-RX0030, RX0032 (Swilley Dep.) at 17:17 – 18:7; 21:22 – 21:24; 27:15 – 27:17.

3. While neither Honest Trading nor Exim Logistics, LLC (“Exim”) purchased the goods, Honest Trading was named as the seller on the sales contracts for four out of the five of the subject shipments and Exim was named as the seller for the fifth shipment at issue in the instant proceedings. CX-014 (IWG-APP-A-0076); CX-050 (IWG-APP-D-0012); CX-066 (IWG-APP-E-0003); RX0031-RX0032 (Swilley Dep.) at 24:14 – 24:21; 27:6 – 27:17¹.

4. Craig Swilley, IWG’s principal, was unable to explain how ownership of the goods was transferred between Big Brother and Honest Trading. *See* RX0032 (Swilley Dep.) at 27:12 – 27:23.

5. In the ordinary course of its business, IWG does not have any documents showing monies received or paid for the subject shipments. *See* RX0042-RX0043 (Swilley Dep.) at 63:23 – 64:7.

¹ We note that Swilley stated in the deposition that Honest Trading was the seller for all five shipments, however, the documents produced demonstrate that for Shipment No. 2154787640 Exim was named as the seller.

6. IWG utilized Schenker's service for 44 shipments between 2024 and 2025, including the five at issue in the instant proceedings. RX0034 (Swilley Dep.) at 44:1 – 44:2; 44:8 – 44:17; RX0108-RX0109 (Marande Dep. 2-20-2026) at 9:19 – 10:24.

7. IWG did not experience any issues with respect to Schenker's services for any other shipments besides the five at issue in the instant proceedings. RX0034-RX0035 (Swilley Dep.) at 44:4 – 44:6; 45:9 – 45:12; RX0108, RX0110-RX0112 (Marande Dep. 2-20-26) at 9:8 – 9:17; 11:13 – 11:16; 16:7 – 16:10; 16:25 – 17:5.

8. The five (5) shipments that are the subject of the instant proceeding are identified as follows:

- a. Shipment 1: Booking No. YHU25912806
- b. Shipment 2: Booking No. YHU25912853
- c. Shipment 3: Booking No. YHU25912863
- d. Shipment 4: #2154787640
- e. Shipment 5: RICFE2007400

See Complainant's Br. at 2-3.

9. IWG had a team dedicated to reviewing each of the documents drafted by Schenker for the subject shipments. RX0036 (Swilley Dep.) at 54:17 – 54:25.

10. Schenker did not bill Honest Trading, IWG, or Big Brother for any demurrage for the subject shipments. RX0037 (Swilley Dep.) at 57:17 – 57:22.

11. The buyer, the party receiving the goods, was responsible for the detention and demurrage assessed by the shipping line for the subject shipments. RX0038, RX0049 (Swilley Dep.) at 58:11 – 58:14; 89:7 – 89:15.

12. For Shipment #1 (YHU25912806), the charges exceed the value of the shipment

and the buyer decided to abandoned the shipment. RX0038-RX0039 (Swilley Dep.) at 58:15 – 59:4.

13. Neither Honest Trading, IWG, nor Big Brother were assessed any charges associated with the destruction or storage of the subject shipments. These charges were assessed directly to the consignee. RX0039 (Swilley Dep.) at 59:10 – 59:15.

14. For Shipments # 2 and # 3 (YHU25912863 and YHU25912853), the consignee purportedly paid the demurrage and storage charges for the shipments and forwarded these invoices to Honest Trading and IWG. RX0040-RX0041 (Swilley Dep.) at 60:9 – 60:15; 60:23 – 61:2; RX0106 (Marande Dep. 2-18-26) at 59:3 – 59:8.

15. Neither Honest Trading nor IWG agreed to pay any sums to the consignee in connection with the invoices for demurrage and storage paid for Shipments 2 and 3 (YHU25912863 and YHU25912853), but purportedly agreed to deduct the amount from future shipments. RX0040-RX0041 (Swilley Dep.) at 60:16 – 60:22; 61:3 – 61:10.

16. On or around January 20, 2025, Complainants and their buyer, BNBMG, entered into a sales contract (Contract No. 2025 – BNBMG - 0120) stipulating that the total value for the goods to be delivered was \$107,100.00. CX-014 (IWG-APP-A-0076).

17. The sales contract (Contract No. 2025 – BNBMG - 0120) was not mandatory and BNBMG could have terminated the contract at any time. RX0048 (Swilley Dep.) at 75:1 – 75:8

18. Complainants and their buyer, BNBMG, mutually agreed to terminate the sales contract (Contract No. 2025 – BNBMG - 0120) and therefore, IWG did not purportedly have any future shipments to apply the deductions to. CX-073 (IWG-APP-G-0001); RX0040-RX0041, RX0050-RX0051 (Swilley Dep.) at 60:16 – 60:22; 61:3 – 61:10; 90:19 – 91:13; *see also* RX0113-RX0116 (Marande Dep. 2-20-26) at 29:21 – 29:24; 30:13 – 30:20; 31:4 – 32:2.

19. After providing initial instructions to Schenker regarding Shipments 1-3 (YHU25912806, YHU25912853 and YHU25912863), IWG, on behalf of its customer, requested several changes to the documentation, including the bills of lading, invoice, and packing list. *See* CX-030 (IWG-APP-C-0014); RX0117 (Marande Dep. 2-20-26) at 54:1 – 54:17.

20. Schenker delivered the Letter of Credit documents for Shipment 1 (YHU25912806) directly to the buyer's bank, HSBC Bank Beijing Branch, in accordance with the instructions it received from the buyer. *See* RX0127-RX0131; RX0118-RX0122 (Marande Dep. 2-20-26) at 57:13 – 58:16; 59:24 – 60:2; 62:5 – 62:9.

21. IWG was aware that bank courier package sent for Shipment 4 (#2154787640) on April 4, 2025, contained only the Original Bill of Lading as it was expressly stated by Schenker in via email. CX-068 (IWG-APP-E-0021).

22. After providing initial instructions to Schenker regarding Shipment 4 (#2154787640), IWG requested changes to both the commercial invoice and phytosanitary certificate just two days before the subject shipment arrived at the port of discharge. CX-068 (IWG-APP-E-0013) - (IWG-APP-E-0014).

23. Schenker made all the requested changes regarding Shipment 4 (#2154787640) within the same day and mailed these documents to the bank on April 17, 2025. CX-67 (IWG-APP-E-0008) - (IWG-APP-E-0012).

24. Several days after IWG sent their approval of the shipment documents to Schenker regarding Shipment 5 (RICFE2007400), IWG, on behalf of Big Brother, requested changes to the documentation, including the bills of lading, certificate of origin, and phytosanitary certificate. *See* CX-050 (IWG-APP-D-0013) – (IWG-APP-D-0015); RX0123-RX0126 (Marande Dep. 2-20-26) at 73:12 – 74:8; 76:18 – 77:7.

25. Within one (1) day of confirming with IWG that the carrier, ONE, was authorized to issue a telex release for Shipment # 5 (RICFE2007400), the telex release was issued. *See* CX-063 (IWG-APP-D-0128); RX0154-RX0156, RX0159, RX0164.

26. Complainants' did not produce any contract between Complainants and BNBMG which stipulates a value of \$3,595,200.00. *See* CX-001 – CX-073² (IWG-APP-A-0001) – (IWG-APP-G-0002; RX0046-0047 (Swilley Dep.) at 71:24 – 72:7.

27. IWG currently owes Schenker \$147,605.00 for services rendered by Schenker for the benefit of IWG. *See* RX0103.

28. Mr. Swilley, IWG's principal, expressly admitted that the invoices issued prior to January 18, 2025, did not pertain to any of the subject shipments at issue. RX0044-RX0045 (Swilley Dep.) at 68:24 – 69:2.

29. Mr. Swilley, IWG's principal, stated that the reason IWG has not paid the outstanding invoices is due to a cash flow issue and is not related to any issues with Schenker's services. RX0045 (Swilley Dep.) at 69:10 – 69:24.

Dated: May 22, 2026

Respectfully submitted,

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak

Robert M. Borak, Esq

Andrew R Spector, Esq.

3250 Mary Street, Suite 405

Miami, FL 33133

Tel: (305) 537-2000

Fax: (305) 537-2001

robert.borak@spectorrubin.com

andrew.spector@spectorrubin.com

Counsel for Respondent, Schenker, Inc.

² Respondents refer to the appendix produced by Complainant to reflect that the document is not contained therein. The undersigned certifies that same was never produced in discover or otherwise.

CERTIFICATE OF SERVICE

I **HEREBY CERTIFY** that a true and correct copy of the foregoing was served on May 22, 2026, via electronic mail, which shall notify all parties of record on this matter.

By: /s/ Robert Borak
Robert M. Borak, Esq.